

ESG of the KITZ Group

* ESG: Environment, Social and Governance



ESG Initiatives

By reflecting Environmental, Social and Governance (ESG) viewpoints in its business management activities, the KITZ Group is working to achieve sustainable medium- to long-term growth and to solve various problems faced by society and the global environment.

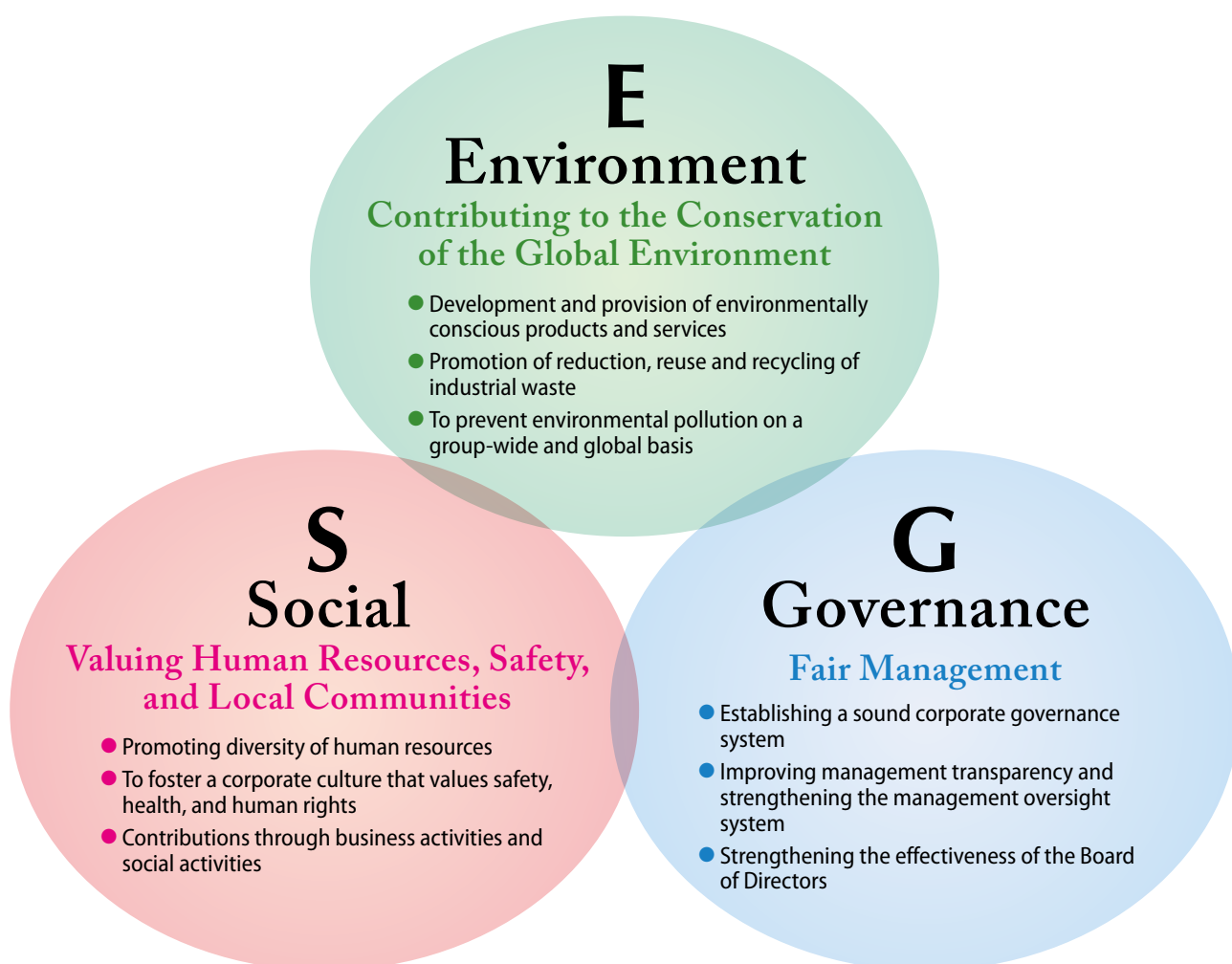
Contributing to the Enrichment of Society

KITZ aims to build relationships of trust with all of its stakeholders, including not only shareholders and investors but also customers, business partners, employees and society as a whole.

In order to achieve this, as highlighted in our corporate philosophy, the KITZ' Statement of Corporate Mission, we believe in the importance of not only pursuing sales, profits and other financial performance indicators, but also the

extent to which we can contribute to the creation of a richer society by offering creative and high-quality products and services.

In the fourth Medium-Term Management Plan, which begins in FY2019, we have highlighted further enhancement of ESG initiatives as a key theme. Moving forward, we will continue working to resolve the following ESG issues in order to become a more trusted company.



ESG of the KITZ Group

Message from Director in Charge of ESG

We will contribute to resolve ESG issues with a view to increasing sustainable corporate value

Toshiyuki Murasawa

Director, Managing Executive Officer and Division Manager, Corporate Administration Division

Increasing Importance of ESG

There are a wide range of expectations placed on companies by society and responsibilities which companies must fulfill with respect to society. In recent times, initiatives to resolve social issues have been advancing at a rapid pace in countries around the globe, and the role of companies in these efforts is becoming increasingly important.

In order to achieve the creation of a sustainable society, it is essential for companies to achieve sustainable growth, while at the same time creating social value through the provision of solutions. We believe that doing so—and thereby becoming “a company that is essential to society”—will lead to an increase in KITZ’s corporate value. In order to sustainably increase corporate value, it is increasingly important for us to reflect and respond proactively to ESG viewpoints in our management activities. In recent years, there is a growing trend for institutional investors to consider a company’s ESG initiatives when making decisions regarding whether or not to invest in that company. It will also be necessary for us to respond to demands such as these.



As highlighted in our corporate philosophy, the KITZ’ Statement of Corporate Mission, we believe in the importance of not only pursuing sales, profits and other financial performance indicators, but also the extent to which we can contribute to the creation of a richer society by offering creative and high-quality products and services.

ESG Initiatives

KITZ aims to fulfill its responsibilities as a manufacturer, and to become a company that is well trusted by society.

In terms of environmental issues, in addition to our continuous efforts to reduce CO₂ emissions, we are also working to make effective use of resources, to promote the reduction, reuse and recycling of waste, to prevent environmental pollution and to develop and offer environmentally friendly products and services.

Regarding social issues, we are working to improve and enhance our human resources (HR) development programs, and advancing reforms to our personnel system to enable each and every individual employee to make the most effective use of their abilities, with the aim of creating an environment in which employees can feel that they are doing a worthwhile job. We also aim to be a good corporate citizen, and to be useful to society and local communities. We are therefore continuously working on activities for harmonious coexistence with local communities, particularly those in which our business sites are located, and environmental conservation activities, while making a social contribution through the provision of products and services.

In terms of governance, we have made efforts to clearly separate supervision and executive functionality by increasing our number of outside directors from two to three in June 2017 (currently, three out of seven directors are outside directors). We have also voluntarily established a Nomination Committee and an Executive Compensation Committee,

over half the membership of which is accounted for by outside directors. By ensuring transparency with regard to the appointment and compensation of corporate officers, and through other efforts, we have worked to achieve a management system that pays consideration to all stakeholders, as a socially responsible company.

In July 2019, KITZ established a Sustainability Promotion Office under directorial administration. The office is now driving initiatives aimed at the achievement of the Sustainable Development Goals (SDGs) adopted by the United Nations.

Promoting Internal Awareness Reforms

In order to ensure recognition of the importance of ESG, and link that recognition on to concrete activities, we are working to further increase awareness within the company with regard to social issues.

Taking the example of HR, KITZ is striving to create an environment in which each employee can work with high motivation and a sense of fulfillment, and to enhance work-life balance to enable employees to choose flexible and diverse working styles to match their individual life stages and life-style changes. We also believe that the combination of diverse knowledge and values is a source of new ideas and creativity, and are working to create an environment in which employees can make maximum effective use of their abilities irrespective of differences in gender, age or nationality. We are also investing our energies into health and safety education, including compliance with health, safety and labor-related laws and internal regulations, to allow every employee to work with good health (both physical and mental) and peace of mind.

In addition, we are working to promote further internal awareness reforms by engaging continuously in awareness raising through holding lectures on themes such as compliance education, promoting diversity and career development and communicating information through internal newsletters.



Seminar aimed at promoting active roles for female employees

Aiming to Improve Non-Financial Performance

We recognize the importance of disclosing non-financial information including ESG. In addition to mediums such as websites, integrated corporate reports, environmental report digests and shareholder newsletters, we are also endeavoring to build trusting by actively creating opportunities for direct dialogues with our stakeholders, including not only shareholders and investors but also customers, business partners, employees and society as a whole, through a range of activities. We take diligent note of the opinions obtained through these constructive dialogues, and reflect them in our initiatives with a view to improving efficiency and increasing transparency in business management.

Enhanced disclosure of information leads to objective evaluations. In addition to enabling us to see in which areas we are performing well, and in which areas there are insufficiencies, it also allows us to grasp external expectations toward KITZ. If we can bolster our initiatives and link them to actual results based on these insights, we believe that this will enable us to improve and enhance the content of information that we are able to disclose in the future, and lead to a positive cycle in which we will feel that we want to respond even further to the expectations of our stakeholders.

Moving forward, we will aim not only to simply disclose non-financial information, but also to further improve our performance in non-financial areas.



Website (Corporate)



Shareholder newsletter

Board of Directors, Corporate Auditors and Executive Officers

(as of June 30, 2019)

Directors



President **Yasuyuki Hotta**

Born: June 18, 1955

Mar. 1978 Joined KITZ
Jan. 1997 Branch Manager, Chubu Branch, Sales Division
Apr. 2001 Plant Manager, Nagasaka Plant
Oct. 2001 Managing Executive Director, KITZ SCT Corporation
Jun. 2004 Representative Director and President, KITZ SCT Corporation
Apr. 2006 Managing Executive Officer, General Manager, Flow Control Business Division
Apr. 2007 Senior Executive Officer, General Manager, Flow Control Business Division
Jun. 2007 Director, Senior Executive Officer, General Manager, Flow Control Business Division
Jun. 2008 President and Chief Executive Officer, General Manager, Flow Control Business Division
Apr. 2009 President and Chief Executive Officer (present position)



Director **Toshiaki Natori**

Born: January 20, 1957

Mar. 1980 Joined KITZ
Oct. 1999 Plant Manager, Chino Plant, Production Division
Apr. 2004 Managing Executive Director, KITZ Metal Works Corporation
Jul. 2009 Representative Director and President, KITZ Metal Works Corporation
Apr. 2010 Executive Officer, Division Manager, Production Division
Jun. 2011 Director, Executive Officer, Division Manager, Production Division
Apr. 2012 Director, Managing Executive Officer, Division Manager, Production Division
Apr. 2013 Director, Managing Executive Officer, Unit General Manager, Flow Control Business Unit
Apr. 2014 Director, Senior Executive Officer, Unit General Manager, Flow Control Business Unit
Apr. 2019 Director, Vice-President and Senior Executive Officer, General Manager, Sales Strategy Office for Commercial Valves in Asia (present position)



Director **Toshiyuki Murasawa**

Born: February 9, 1959

Mar. 1981 Joined KITZ
Apr. 2001 General Manager, Corporate Planning Department
Apr. 2009 Executive Officer, General Manager, Corporate Planning Department
Oct. 2011 Executive Officer, Division Manager, Corporate Planning Division
Apr. 2016 Executive Officer, Division Manager, Corporate Administration Division
Jun. 2016 Director, Executive Officer, Division Manager, Corporate Administration Division
Apr. 2019 Director, Managing Executive Officer, Division Manager, Corporate Administration Division (present position)



Director **Makoto Kohno**

Born: March 10, 1966

Apr. 1988 Joined KITZ
Aug. 2008 General Manager, Project Sales Department, International Sales Division, Flow Control Business Unit
Dec. 2011 General Manager, Project Management Department
Apr. 2013 General Manager, Production Control Department, Production Division, Flow Control Business Unit
Apr. 2015 General Manager, Business Planning Department, Flow Control Business Unit
Apr. 2016 Executive Officer, Division Manager, Corporate Planning Division
Apr. 2017 CEO & Managing Director, KITZ Corporation of Asia Pacific Pte. Ltd., Managing Director, KITZ Valve & Actuation Singapore Pte. Ltd.
Apr. 2019 Managing Executive Officer, General Manager, Flow Control Business Unit
Jun. 2019 Director, Managing Executive Officer, General Manager, Flow Control Business Unit (present position)



Outside Director **Kazuyuki Matsumoto**

Born: September 21, 1945

Apr. 1970 Joined Teijin Seiki Co., Ltd. (currently Nabtesco Corporation)
Jun. 2001 Director
Sep. 2003 Executive Officer, Nabtesco Corporation
Jun. 2004 Director
Jun. 2005 Representative Director, President & CEO
Jun. 2011 Chairman
Jun. 2013 Advisor, Nabtesco Corporation, Outside Director, TOPCON CORPORATION (present position), Outside Director of KITZ (present position)



Outside Director **Minoru Amoh**

Born: December 9, 1951

Apr. 1979 Joined Du Pont Far East, Inc. Japan Representative Office (currently DuPont Kabushiki Kaisha)
Mar. 2000 Director
Mar. 2002 Managing Executive Director
Mar. 2004 Senior Executive Director, Regional Director, Asia-Pacific Region, Engineering Polymer Business Division
Jul. 2005 Director, Vice President
Sep. 2006 Representative Director, President
Jan. 2013 Representative Director, Chairman, DuPont Kabushiki Kaisha, President, DuPont Asia Pacific Limited
Sep. 2014 Honorary Chairman, DuPont Kabushiki Kaisha
Jun. 2015 Outside Director of KITZ (present position)
Mar. 2016 Statutory Auditor, Otsuka Chemical Co., Ltd.
Mar. 2019 Outside Director (present position)



Outside Director **Yutaka Fujiwara**

Born: April 20, 1951

Apr. 1974 Joined MODEC, Inc.
Apr. 1987 Joined The Yasuda Trust & Banking Co., Ltd. (currently Mizuho Trust & Banking Co., Ltd.)
Aug. 1994 Deputy General Manager, New York Branch
Jun. 1996 General Manager, Chicago Branch
Aug. 1998 Joined OMRON Corporation
Jun. 2005 Executive Officer, General Manager, Financial IR Department
Mar. 2007 Executive Officer, General Manager, Group Strategy Department
Dec. 2008 Managing Officer, General Manager, IR & Corporate Information Department
Jun. 2013 Outside Director, Nabtesco Corporation (present position)
Jun. 2017 Outside Director of KITZ (present position)

Audit & Supervisory Board Members



Standing Audit & Supervisory Board Member

Masahiko Kondo

Born: September 8, 1952

Aug. 1977 Joined KITZ
Jul. 2000 General Manager, General Administration and Human Resource Department
Apr. 2004 Executive Officer, General Manager, General Administration and Human Resource Department
Apr. 2010 Executive Officer, Deputy Division Manager, Corporate Administration Division
Jun. 2012 Director, Executive Officer, Division Manager, Corporate Administration Division
Apr. 2014 Director, Managing Executive Officer, Division Manager, Corporate Administration Division
Jun. 2016 Standing Audit & Supervisory Board Member (present position)



Outside Audit & Supervisory Board Member

Tatsuhiko Takai

Born: February 3, 1952

Jul. 1974 Joined Mitsui Mining & Smelting Co., Ltd.
Jun. 2004 Executive Officer, General Manager, Finance Department, Mitsui Mining & Smelting Co., Ltd., Outside Audit & Supervisory Board Member, MESCO, Inc.
Jun. 2007 Chief Financial Officer, Senior Executive Officer, General Manager, Finance Department
Jun. 2008 Standing Audit & Supervisory Board Member
Jun. 2011 Outside Audit & Supervisory Board Member, Nakabohtec Corrosion Protecting Co., Ltd.
Jun. 2015 Outside Audit & Supervisory Board Member of KITZ (present position)



Standing Audit & Supervisory Board Member

Taro Kimura

Born: August 4, 1959

Dec. 1991 Joined KITZ
Jun. 2001 General Manager, Accounting and Finance Department
Apr. 2010 General Manager, Accounting Supervisory Department, Corporate Administration Division
Apr. 2011 Executive Officer, Deputy Division Manager, Corporate Administration Division
Jun. 2017 Standing Audit & Supervisory Board Member (present position)



Outside Audit & Supervisory Board Member

Shuhei Sakuno

Born: February 17, 1954

Apr. 1977 Joined Yokogawa Electric Works Ltd. (currently Yokogawa Electric Corporation)
Oct. 1999 General Manager, Affiliated Company Supervision Office
Apr. 2005 Vice President, General Manager, Accounting & Treasury Center, Corporate Administration Headquarters
Jun. 2008 Senior Vice President, General Manager, Audit and Compliance Headquarters
Jun. 2016 Audit & Supervisory Board Member, Yokogawa Solution Service Corporation
Jun. 2017 Outside Audit & Supervisory Board Member of KITZ (present position)



Outside Audit & Supervisory Board Member

Ayako Kobayashi

Born: October 14, 1975

Oct. 2000 Registered as an attorney at law
Jan. 2009 Partner, Kataoka & Kobayashi
Sep. 2013 Part-time lecturer, Keio University Law School (present position)
Apr. 2018 Partner, KATAOKA & KOBAYASHI LPC (present position)
Jun. 2019 Outside Audit & Supervisory Board Member of KITZ (present position)

Reasons for Appointment of Directors and Audit & Supervisory Board Members

	Name	Years in Office	Reason for Appointment
Director	Yasuyuki Hotta	12 years	He has driven the enhancement of corporate governance in an effort to achieve sound and highly transparent management, and has advanced the globalization of the KITZ Group. He can be expected to contribute to the supervision and execution of management, and to the enhancement of the critical decision-making and supervisory functions of the Board of Directors by leveraging his excellent business decision-making abilities based on his extensive knowledge and experience.
	Toshiaki Natori	8 years	He has been the Director and Executive Officer in charge of production areas. He has contributed to the KITZ Group through good manufacturing. His extensive knowledge and experience will be useful in formulating and debating management strategies and supervising their execution.
	Toshiyuki Murasawa	3 years	He has been a Director and Executive Officer in charge of the Corporate Planning and Corporate Administration Divisions, devising and implementing business strategy plans, promoting HR development and diversity. His extensive knowledge and experience will be useful in formulating and debating management strategies and supervising their execution.
	Makoto Kohno	Newly appointed	He has been involved in the Sales and Production Divisions of the valve manufacturing business. He has experience as an executive officer responsible for the Corporate Planning Division, and also as head of an overseas Group company, and he will display strong leadership in running the valve manufacturing business. His extensive knowledge and experience will be useful in formulating and debating management strategies and supervising their execution.
	Kazuyuki Matsumoto	6 years	He has been active for many years as an executive of Nabtesco Corporation. In addition to his extensive experience as a corporate executive, he also has broad insights on technical strategies. He was asked to continue in his role as an outside director to receive his continued supervision and advice leveraging that knowledge.
	Minoru Amoh	4 years	He has been active for many years as an executive of DuPont K.K., which has a global business presence. He has high-level insights based on his abundant experience in corporate management. He was asked to continue in his role as an outside director to receive his continued supervision and advice, leveraging that knowledge.
Audit & Supervisory Board Member	Yutaka Fujiwara	2 years	Following positions as overseas branch manager for a financial institution, he has been active as an executive officer responsible for finance, investor relations and group strategy at Omron Corporation, which has a global business presence. He has high-level insights into corporate management from a global perspective, and was asked to continue in his role as an outside director to receive his continued supervision and advice based on those insights.
	Masahiko Kondo	3 years	He is involved in management of the Company as a Director in charge of the corporate administration areas which bring the Group companies together and has sought to strengthen management infrastructure and has built and pushed for the strengthening of the Group's risk management system. His knowledge and experience in business management, labor, accounting and finance will be reflected in the audits of the Company.
	Taro Kimura	2 years	He has many years of experience in managing the Company's accounting and financial operations. As an executive officer in charge of corporate administrative divisions that oversee Group companies, he developed the Company's internal control system, strengthened its internal audit function and promoted the building of its risk management system. His knowledge and experience in risk management as well as in accounting and finance will be reflected in the audits of the Company.
	Tatsuhiko Takai	4 years	He took charge of accounting and corporate planning operations for Mitsui Mining & Smelting Co., Ltd. for many years and successively assumed the position of Chief Financial Officer and senior executive officer, having accumulated knowledge in finance and accounting. His knowledge, coupled with his extensive experience as a Standing Audit & Supervisory Board Member at said company, will be reflected in the audits of the Company.
	Shuhei Sakuno	2 years	He has broad experience in corporate administration operations that supervise the Yokogawa Electric Corporation group companies and possesses a considerable amount of knowledge in finance and accounting operations. He also possesses knowledge related to corporate governance acquired through his experience in developing internal control, risk management and internal audit systems. His extensive experience will be reflected in the audits of the Company.
	Ayako Kobayashi	Newly appointed	She is active as an attorney in a wide range of fields including finance, corporate law, compliance, M&A, resolution of disputes and legal actions, and crisis management. It was decided that her extensive experience, abilities and insights could be reflected in audits of the Company.

Executive Officers

President and Chief Executive Officer

Yasuyuki Hotta

Vice-President and Senior Executive Officer

Toshiaki Natori

Managing Executive Officer

Toshiyuki Murasawa

Managing Executive Officer

Makoto Kohno



Executive Officer **Tetsuo Sakane**

Born: July 23, 1955

Mar. 1980 Joined KITZ
Apr. 2001 Branch Manager, Chugoku Branch, General-purpose Valve Division
Apr. 2011 Branch Manager, Osaka Branch, Sales Division
Apr. 2014 Executive Officer, Division Manager, Domestic Sales Division
Apr. 2019 Executive Officer, Division Manager, Domestic Sales Division and Deputy General Manager, Sales Strategy Office for Commercial Valves in Asia (present position)



Executive Officer **Yoriyuki Koyama**

Born: March 9, 1959

Mar. 1984 Joined KITZ
Apr. 2007 General Manager, Production Engineering Department, Production Division
Oct. 2008 General Manager, SC Manufacturing Department, Production Division
Apr. 2013 General Manager, Production Engineering Center, Production Division
Apr. 2015 Executive Officer, Division Manager, Customer Support Division (present position)



Executive Officer **Kenji Katsuragi**

Born: October 31, 1956

Jun. 1999 Finance Director, Panasonic Australia Pty. Ltd.
May. 2006 Group Manager, Overseas Department System Group, Panasonic Corporation
Jan. 2008 Vice President, Panasonic Consumer Electronic Company, a division of Panasonic North America Corp.
Oct. 2009 Auditor, Audit Department, Panasonic Corporation
Apr. 2011 General Manager, Overseas Finance Center, Panasonic Corporation
Jan. 2012 Director, CFO, Panasonic Europe Ltd.
Aug. 2016 Joined KITZ
Apr. 2017 Executive Officer, Deputy Division Manager, Corporate Administration Division (present position)



Executive Officer **Takahito Hirashima**

Born: September 10, 1959

Mar. 1985 Joined KITZ
Jul. 2002 Plant Manager, Suwa Plant, Production Division
Apr. 2004 Director, KITZ Micro Filter Corporation
Apr. 2006 President and Chief Executive Officer, KITZ Micro Filter Corporation
Apr. 2011 Executive Officer, Division Manager, Engineering Division
Jun. 2012 Director, Executive Officer, Division Manager, Engineering Division
Apr. 2017 Executive Officer, Division Manager, Engineering Division
Feb. 2018 Division Manager, Engineering Division
Apr. 2019 Executive Officer, Division Manager, Engineering Division (present position)



Executive Officer **Kazuhiko Hirabayashi**

Born: August 6, 1959

Mar. 1982 Joined KITZ
Apr. 2004 General Manager, Production Planning Department, Production Division
Apr. 2012 Deputy Division Manager, Production Division
Apr. 2013 Executive Officer, Division Manager, Production Division (present position)



Executive Officer **Yukinari Koide**

Born: January 15, 1959

Mar. 1982 Joined KITZ
Aug. 1999 Managing Director, Miyoshi Valve Co., Ltd.
Dec. 2004 Branch Manager, Chubu Branch, Domestic Sales Division
Apr. 2008 General Manager, Sales Planning Department, Domestic Sales Division
Apr. 2013 General Manager, Business Planning Department, Flow Control Business Unit
Apr. 2015 Executive Officer, Division Manager, IT Control Division (present position)



Executive Officer **Hitoshi Kurihara**

Born: December 14, 1957

Mar. 1981 Joined KITZ
Mar. 1998 Branch Manager, Chugoku Branch, Commercial Valve Division
Apr. 2001 Branch Manager, Tokyo Branch, Commercial Valve Division
Apr. 2005 Executive Officer, Division Manager, Domestic Sales Division
Jun. 2012 Director, Executive Officer, Division Manager, Sales Division
Apr. 2014 Chairman, KITZ Corporation of Asia Pacific Pte. Ltd.
Apr. 2017 Executive Officer, Division Manager, Corporate Planning Division (present position)



Executive Officer **Masaru Takusagawa**

Born: October 4, 1962

Mar. 1991 Joined KITZ
Apr. 2004 General Manager, Development Department 3, Engineering Division
Apr. 2007 General Manager, Research Department, Engineering Division
Apr. 2008 General Manager, Engineering Department 2, Engineering Division
Apr. 2010 General Manager, Product Development Department, Engineering Division
Apr. 2015 General Manager, Production Engineering Center, Production Division
Apr. 2017 Executive Officer, Division Manager, Product Management Center (present position)



Executive Officer **Kazunori Okimura**

Born: September 5, 1959

Apr. 1983 Joined Fujisawa Pharmaceutical Co., Ltd. (currently Astellas Pharma Inc.)
Apr. 2009 General Manager, Legal Department
Apr. 2012 General Manager of Legal and Compliance Department
Jun. 2013 Executive Officer, General Manager of Legal and Compliance Department
Apr. 2016 Executive Officer, General Manager, Legal Department
Jun. 2018 Joined KITZ
Apr. 2019 Executive Officer, General Manager, Legal Department, (present position)

Corporate Governance

In order to achieve sustainable growth and increase corporate value, KITZ will strengthen corporate governance to meet the expectations and trust of stakeholders.

Basic Policy and Structure

KITZ's corporate philosophy is "To contribute to global prosperity, KITZ is dedicated to continually enriching its corporate value by offering originality and quality in all products and services." We are committed to being socially responsible and operating the company in consideration of shareholders and all other stakeholders.

We are also committed to realizing company management that is prompt, efficient, sound and transparent and strengthening compliance by implementing various measures to enhance its corporate governance.

To enhance the function to appropriately supervise the Board of Directors and its execution of business, KITZ selected and appointed three outside directors. To reinforce the audit system, it also established the Audit & Supervisory Board, more than half (three) of whose members are outside auditors.

Moreover, the Nomination Committee and the Executive Compensation Committee, non-mandatory committees where outside directors constitute the majority, were established as advisory bodies to the Board of Directors to improve objectivity and transparency in the appointment of the candidates for directors/auditors and executive officers and

the compensation for directors and executive officers. We believe that governance based on the Audit & Supervisory Board works effectively enough.

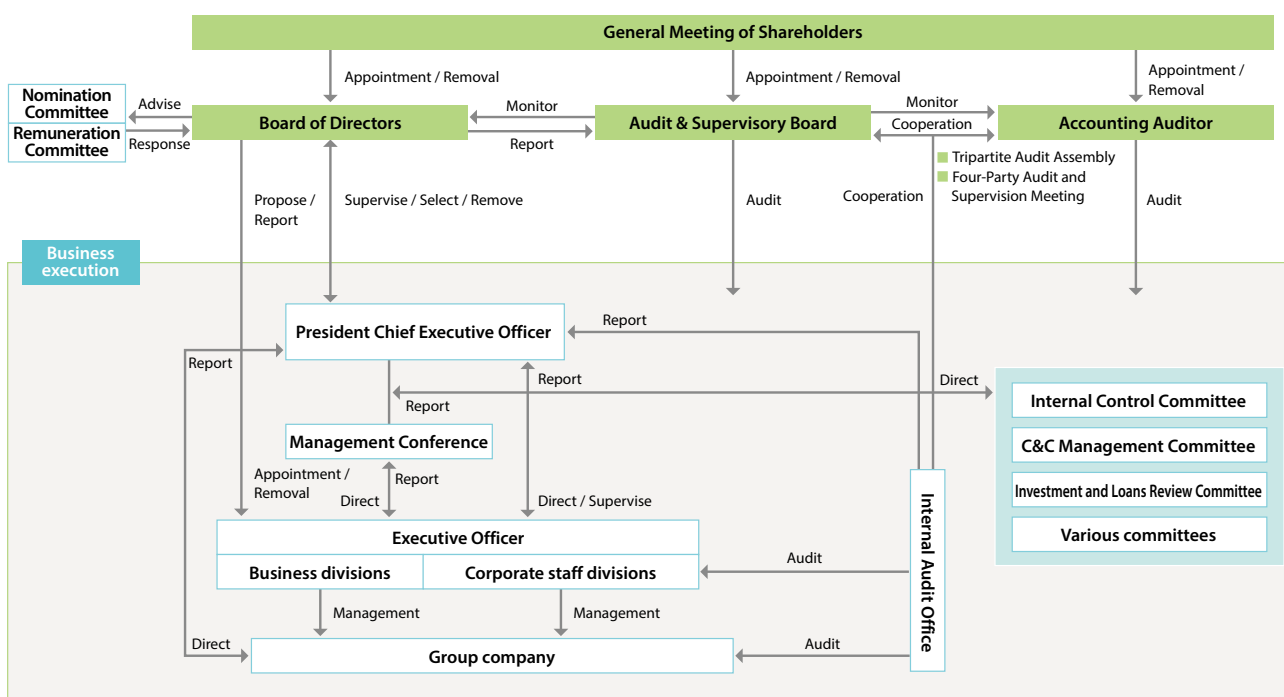
Each organization carries out its work according to the Work Authority Rules and the Rules for the Request for Approval and Decision Making. The decisions by the Boards of Directors in KITZ and its Group companies are made according to the Rules of the Board of Directors and the Group companies' rules. In addition, a number of special committees regarding internal control, crisis management, risk control, promotion of compliance, security trade control, investment/financing screening and information security/personal information protection were established to discuss and evaluate important agendas that require appropriate decision-making about the operation of the Group companies.

Board of Directors

● Composition and Activities of the Board of Directors

Assuming fiduciary responsibility for company management to shareholders and aiming to achieve the sustainable growth of the Group and a medium- to long-term improvement in its corporate value, KITZ's Board of Directors

Flow Chart



discusses and makes decisions on major management issues, including management policy, medium- to long-term management plans and business plans for each fiscal year, and supervises the execution of business. It is also responsible for building the entire Group's internal control system.

The Board of Directors consists of seven members: four executive directors and three outside directors. They discuss issues prescribed in the Rules of the Board of Directors and make resolutions. They also have honest and vigorous debates on other important management issues. To facilitate decision-making and clarify their responsibilities for business operation, the term of office of the directors is one year.

The outside directors have extensive experience in corporate management and a broad range of knowledge. They participate in the Board of Directors' judgment on business and decision-making, provide appropriate advice on the Company's judgment on business and supervise the execution of operations.

As a general rule, a regular meeting of the Board of Directors is held once a month, quarterly for the

approval of the settlement of accounts and as required for extraordinary meetings. The meetings discuss issues prescribed by laws and regulations, as well as by the Rules of the Board of Directors, and make resolutions and supervise the execution of duties of Directors by receiving a regular report on the execution of business from each executive director.

● Evaluation of the Effectiveness of the Board of Directors

To improve the effectiveness of corporate governance and the functions of the Board of Directors, a questionnaire survey on the effectiveness of the Board of Directors is conducted among directors and auditors each year.

Based on the answers and opinions about the improvement of effectiveness in the future, the Board of Directors verifies the evaluation of current situation, shares issues and has honest and hot debates on the measures to be implemented for improvement.

In the questionnaire survey of the effectiveness of the Board of Directors conducted in May 2019, development and implementation of management strategy, constitution

Matrix and History of Corporate Governance

	1990	2000	2010
Separation of supervision and execution	20 members of the Board of Directors as prescribed by the Articles of Incorporation	1999 Decreased to 12 1999 Introduced the Executive Officer System	2005 Decreased to 9
Number of Outside Directors		2001 One	2011 Two 2017 Three
Number of Outside Audit & Supervisory Board Members	One	2000 Two	2019 Three
Operation of the Board of Directors			2006 Term of office for Directors: 1 year 2016 Implemented self-evaluations on the effectiveness of the Board of Directors
Advisory Committees		1999 Established the Investment and Loans Review Committee 2002 Established the C&C Control Committee	2007 Established the Internal Control Committee 2017 Established the Executive Compensation Committee 2017 Established the Nomination Committee
Compensation System		2004 Abolished the system for retirement bonuses for Executive Officers	2016 Introduced a performance-based stock compensation plan
Integrated Report			2016 Published the integrated report <i>Corporate Report</i>
Corporate philosophy	1992 Formulated the KITZ Statement of Corporate Mission	2001 1st revise	2006 2nd revise

of the Board of Directors, appointment of and compensation for directors, roles expected for outside directors, vitalization of discussion at Board meetings and response to shareholders and other stakeholders were asked. The result of the self-evaluation says that the effectiveness of the Board of Directors is ensured in general.



Audit & Supervisory Board

● Composition and Activities of the Audit & Supervisory Board

The Audit & Supervisory Board of KITZ consists of five members: two full-time auditors and three outside auditors.

Full-time auditors must be selected from personnel at KITZ who have abundant expertise and experience. At least one of them must have a thorough knowledge of finance and accounting.

Outside auditors are selected from those who have a substantial knowledge of finance, accounting, legal and corporate management.

Auditors carry out their assigned duties, including being aware that they are especially expected to take helpful actions for making fair and equitable decisions on corporate management in the phase of decision-making related to the execution of business at the meeting of the Board of Directors, taking shareholders' benefit as well as the Company's benefit into consideration, and expressing their opinions as required.

They also verify the legitimacy and appropriateness of decision-making processes and the decision itself and express their opinion as required, in addition to overseeing the fulfillment of executive directors' duties to report and the effectiveness of the mutual-monitoring functions on corporate management among directors at the meetings of the Board of Directors.

As for the auditor's audit, the Company demonstrates its investigation authority to oversee the execution of duties by directors, including attendance to important meetings

and visiting audits to offices and subsidiaries, verifies the fulfillment of legal obligations that include the duty of care of a good manager and has the necessary discussions at meetings of the Audit & Supervisory Board according to the standards for the auditor's audit, audit plans and the division of roles.

● Measures to Improve Audit and Supervisory Functions

The Audit & Supervisory Board regularly convenes the Three-Party Audit Meeting with an accounting auditor and the Internal Audit Office, receives a report on the status of an audit, exchanges information and opinions, and maintains a close liaison. It also regularly holds the Four-Party Audit and Supervisory Meeting with an outside director, the accounting auditor and the Internal Audit Office, exchanges information and shares recognition from an independent and objective standpoint, and endeavors to improve the audit function of auditors and the supervisory function of independent outside directors.

In addition, the Audit & Supervisory Board holds regular meetings to exchange opinions with the president and CEO and has an opportunity to exchange information and opinions on corporate management issues with executive directors and executive officers.

Nomination Committee and Executive Compensation Committee

Based on the discussions on the evaluation of the actual effectiveness of the Board of Directors, KITZ has established a Nomination Committee and an Executive Compensation Committee as advisory bodies, more than half of whose members are outside directors, although these bodies are not mandatory.

The Nomination Committee discusses the nomination of candidates for directors and auditors, as well as executive officers and the senior management, according to the Policy for the Selection and Removal of Directors. The Executive Compensation Committee discusses important issues concerning the policies and details of compensation for directors and executive officers. Both report the results to the Board of Directors.

Independent Directors

Outside directors and outside auditors at KITZ satisfy the Standards for the Judgment of Independence of Outside Directors prescribed by the Company and the standards for the judgment of independence of outside directors prescribed by the Tokyo Stock Exchange (TSE), and KITZ notifies TSE of the independent directors.

Policy for the Selection and Removal of Directors

KITZ has established the Policy for the Selection and Removal of Directors and selects candidates for directors and auditors, as well as executive officers and senior management, from a diversified point of view including gender, internationality, personality, ability, insight, experience, expertise, achievements, fairness and age.

Accounting Auditor

KITZ appointed Ernst & Young Shin Nihon LLC as the accounting auditor. Liaising with related divisions, such as the Audit & Supervisory Board, the accounting division and the internal audit division, the accounting auditor endeavors to secure the schedule of an audit and assemble the necessary staff and carries out an appropriate audit.

To select candidates for accounting auditor, the independence, qualifications and expertise of accounting auditors, the appropriateness, validity and effectiveness of audit quality, and the validity of the audit system, plan and compensation are evaluated. Candidates are determined at the meeting of the Audit & Supervisory Board and the agenda is submitted to a general meeting of shareholders.

Policy for Cross-Shareholdings

KITZ has established a Policy for Cross-Shareholdings. Our basic policy is not to hold shares for the purpose of forming a stable shareholder base, while it is possible to hold the shares of important business partners to establish good relationships and promote smooth business. If we have shares without significant reasons for holding them, they will be sold as required after a yearly review.

In the valve manufacturing business, which is our core business, comprehensive technical capabilities are consistently required in all phases from materials to products. In all processes of product development, manufacturing, sales and distribution, good cooperative relationships with a wide variety of companies are essential. It is possible to hold the shares of important business partners to promote smooth business.

The decision whether we should exercise voting rights in the case of cross-shareholdings is made based on a comprehensive understanding of whether it will further improve the good relationship with the company we invest in and the medium- to long-term corporate value. We will decide whether we vote for or against a resolution on a case-by-case basis.

Communication with Shareholders and Investors

In order to achieve sustainable growth and medium- to long-term improvement in corporate value, KITZ recognizes the importance of being aware of its fiduciary accountability for company management, disclosing information to shareholders, investors and other stakeholders in a timely, appropriate and fair manner while maintaining fairness and transparency in corporate management. To help shareholders and investors understand our management strategy and plan, we have honest and constructive communications and reflect the opinions and requests obtained through communication in the improvement of corporate management. To promote such investor relations (IR) activities, we have established an IR division and built a system where the president and CEO and the executive officers in charge of IR play a core role in IR.

Internal Control / Compliance

Basic Concept and Outline of Internal Control

To make the Group's management base sound and robust for the realization of the KITZ' Statement of Corporate Mission, we have laid down the Basic Policy for Internal Control and built an internal control system according to the Companies Act and its enforcement regulations.

We improve and operate the internal control system over financial reporting based on the fundamental framework for internal control prescribed in the Financial Instruments and Exchange Act and the Setting of the Standards and Practice Standards for Management Assessment and Audit concerning Internal Control Over Financial Reporting (Council Opinions)

published by the Business Accounting Council.

The Internal Audit Office endeavors to maintain a close liaison with auditors and accounting auditors to evaluate internal control on company-wide basis. Based on the results, operating processes are selected with an eye to the risks that may result in material misstatements relating to financial reporting. The selected operating processes are analyzed, the point in internal control that may exert a significant influence on the reliability of financial reporting is identified, and the operation status of the point is evaluated. Thus, the effectiveness of internal control is evaluated. As a result of the evaluation, it was determined that internal audits over

financial reporting of the Company are effective.

Promotion of Corporate Management Based on Compliance

● Basic Concept

For a company to develop on a constant basis, KITZ believes that managing the company based on compliance is a fundamental and essential condition. In the corporate philosophy "KITZ' Statement of Corporate Mission," "Do it True" is placed on the top of the Action Guide.

To raise awareness of compliance and acquire more knowledge, the Company takes a variety of approaches. It established the C&C (Crisis and Compliance) Control Committee headed by the president and CEO in all Group companies in 2002 to prevent risks in corporate management from occurring and to disseminate on a Group-wide basis crisis response and corporate management based on compliance.

● Establishing a Corporate Culture for Corporate Management Based on Compliance

To put corporate management based on compliance into practice on a Group-wide basis, KITZ has created a Compliance Program Guidebook, which is designed to be commonly used within the Group, in which its importance, basic policy, the code of conduct on corporate ethics, a whistle-blower hotline, education and disciplinary action for violators are described and compiled. Guidebooks are distributed to directors and employees of KITZ and the Group companies. To raise awareness of compliance and acquire more legal knowledge, the Company developed a variety of textbooks and plans and sponsors educational programs every year.

● Whistle-Blower Hotline

To seek inside information that cannot be obtained through



Compliance Seminar for directors of domestic and overseas group companies

an ordinary internal control system and a compliance system, KITZ has established and operates a whistle-blower hotline. The C&C Control Committee established a Compliance Information Desk (internally referred to as "CID") as a contact point for whistle blowing. It receives information about violations of the code of conduct on compliance, including violations of laws and regulations, from directors and employees of KITZ and the Group companies.

In addition to a CID established in each Group company, KITZ and its corporate lawyer's office respectively have a CID that is designed to be available to all employees of the Group. Please note that the C&C Control Committee investigates the case and implements measures promptly and appropriately, while protecting the confidentiality of a whistle-blower, after discussing and determining the policies for the obtained information.

Risk Management

KITZ believes that controlling a variety of risks associated with business activities is a significant challenge for company management. For this reason, the entire Group discusses and carries out measures to identify and analyze the variety of risks in business activities appropriately and studies and establishes a system to prevent and control the risk. It also develops a system to respond to a crisis promptly and appropriately.

Number of participants in information security e-learning in FY2018

1,710

(including Group companies)

Number of participants in compliance seminars in FY2018

616

(including Group companies)

Messages from Outside Directors



As the business environment continues to experience rapid and intense change, I believe that KITZ must value sustainability and the spirit of challenge in attempting new things.

Kazuyuki Matsumoto

Outside Director

KITZ's vision for 2030 clarifies what the KITZ Group should aim for moving forward. FY2019—the first fiscal year of that new vision—also marks the start of the Group's fourth Medium-Term Management Plan. Precisely because of the rapidly and intensely changing business environment that the company is facing, I believe that KITZ must place greater value than ever before on sustainability and the spirit of challenge in attempting new things. In order to achieve this, KITZ must surely and steadily implement the discovery, recruitment and training of human resources who will play key roles in the next generation, and the development and commercialization of core technologies and products that will lead to the next stage of growth for the Group.

When doing so, I think that it will be important for KITZ personnel to remain constantly mindful of the reasons why particular business operations are being conducted, for whom the business operations are, and whether or not they will lead to growth and enhancement for the Company and for themselves as individuals; to continue to reach higher levels

both qualitatively and quantitatively in terms of interactions with customers and other outside parties; to build teams that share mutual trust and respect through communication; to utilize resources based on priority orderings; and to ensure speedy communication of information as a matter of course, including negative or potentially disadvantageous information.

I also think that finding a balance between “investment in sustainable and profitable growth of existing businesses” and “investment in new businesses with a view to the next generation,” with the latter being funded by profits gained from the former, and following up to avoid the occurrence of disparities between targets and actual results is crucial not only to ensuring the continued survival of the company, but also to fulfilling social responsibilities in the long term.

I have expectations for KITZ to achieve its long-term vision and the goals of the fourth Medium-Term Management Plan through swift and sound judgments and actions in accordance with its action guidelines: “Do it True”, “Do it Now” and “Do it New.”

I will continue to make my utmost efforts as an Outside Director to earn the trust of all stakeholders.

Minoru Amoh

Outside Director

The important roles of outside directors are to offer different perspectives and thinking, provide an impetus to difficult decision-making and contribute to the selection of successors to key positions from the perspective of human resources development. I believe the essential points in operational management for ensuring that outside directors function effectively are to provide large volumes of information, give explanations in advance of board meetings, create opportunities for direct dialogue with management members at informal venues such as dinner meetings, secure venues for exchanging opinions about medium- and long-term strategies and create numerous opportunities to visit manufacturing plants and branches. Also, I believe one of the important points in selecting the agenda of the board meeting is whether outside directors can provide added value or not.

In 2015, I assumed my duties as an Outside Director of KITZ. Through my involvement with the Board of Directors and observations of manufacturing plants, I have a strong sense that KITZ is sincerely building an extremely solid governance system and is assuring the transparency and objectivity of its management. In its medium- and long-term strategies,

I commend KITZ's efforts to actively ascertain changes in the market, pursue sustainable growth and achieve continuous improvements in corporate value.

Recently, moves toward corporate governance reforms are gathering pace. Let me stress three important points in undertaking these reforms. The first is to respect basic rules concerning the nomination of directors and executive officers. The second is to ensure "security protection." The third is to select multiple outside directors (currently three). Applicable examples of these points in terms of nominating outside directors are ensuring that the company president and chairman do not have any personal friendly relationships with the candidate, nominating a candidate who is not excessively focused on compensation and protecting their own self-interests, and assuring that the candidate has previous experience as an outside director.

I will continue to make every effort as an Outside Director to ensure that KITZ attains sustainable growth and earns the trust of all stakeholders.

I contribute to the long-term improvement of corporate value through frank opinions and advice.

Yutaka Fujiwara

Outside Director

A Corporate Governance Code was enacted in 2015, with its principal purpose being the prevention of corporate fraud and ensuring management transparency. The Code promotes the establishment of an optimal corporate governance system to increase long-term corporate value. I understand that its most important concept is the "separation between supervision of business and execution of business." That means a clear separation and division of roles are required, in which the supervision of company management is delegated to the Board of Directors by the shareholders and the execution of business is delegated to Executive Officers under the President by the Board of Directors. The reality is, however, that a number of boards of directors in Japanese companies are occupied by more than a few internal directors who also serve as executive officers, making it rather difficult to achieve separation of the supervision of business and execution of business.

In contrast, three of the seven Directors of KITZ are completely independent Outside Directors who have absolutely no conflict of interest with KITZ. In terms of the percentage of its board membership accounted for by Outside Directors

and their complete independence, I believe that KITZ is one of the most advanced companies in terms of its governance structure amongst approximately 3,500 listed companies. To further increase the effectiveness of the Board of Directors, although KITZ already has an Audit & Supervisory Board, it also established a Nomination Committee and an Executive Compensation Committee, which have a majority of Outside Directors, to ensure transparency with regard to executive personnel affairs and remuneration. With regard also to resolutions of the Board of Directors, sufficient prior explanation is provided as necessary, which results in frank and productive discussions at the Board of Directors meeting.

So as to enhance the effectiveness of this well-established governance system, the responsibilities of the independent Outside Directors are, by maintaining the perspective of shareholders or other stakeholders at all times and exchanging frank opinions and advice, to keep in mind the contribution to long-term improvement of corporate value.

Communication with Our Stakeholders

KITZ provides opportunities for direct communication through activities to build relationships of mutual trust with shareholders and investors, as well as with other stakeholders including customers, business partners, employees and society. We feed back opinions and requests obtained by constructive communication to the management team, and reflect the outcomes in efforts to improve the efficiency and transparency of management.

With Shareholders

We seek to disclose information at an early stage, wherein we send the notice of the annual general meeting of shareholders earlier than the legal requirement, and the contents are posted on the website prior to sending. The English version can also be read on the website. We are preparing a system that enables our shareholders to exercise voting rights online for their convenience.



With Investors

We hold results briefings for institutional investors and analysts on a quarterly basis. At these briefings, the president and responsible executive officer explain business performance and medium-to long-term strategy. We also hold explanatory briefings for individual investors multiple times a year for the purpose of getting more people interested in becoming KITZ shareholders. We are also striving to improve the shareholder special benefit plan, as well as to provide information on a timely basis both on the website and in shareholder newsletters.



With Customers

To introduce the KITZ Group's products to a wider audience, we proactively exhibit at domestic and foreign trade shows and answer questions from customers who visit our booth.



With Business Partners

A meeting of presidents of domestic general distributors is held annually. We promote mutual understanding and further deepen our partnership with distributors.

With Employees

The management team including the president regularly visits manufacturing sites and promotes better understanding through communication with employees. We also hold internal results briefings at our domestic branches and plants. We provide easy-to-understand explanations about our business results and medium- and long-term strategies.

The monthly KITZ newsletter issued every month contains news and topical information from various business locations, as well as messages from the president and comments from senior management personnel. The newsletter is distributed via the Intranet.



Environmental Activities

KITZ undertakes initiatives for the conservation of the environment in accordance with the KITZ Group Principle of Environmental Activities and the Environmental Action Policy.

KITZ Group Principle of Environmental Activities

KITZ Group companies aspire to become operations worthy of society's confidence through the supply of environmentally friendly products and services and promotion of environment-responsive corporate activities.

KITZ Group: Environmental Action Policy

KITZ Group companies shall recognize environmental issues as an essential perspective of corporate management and every employee shall positively participate in the following activities.

1. Development and supply of environmentally friendly products and services
2. Effective use of resources
3. Promotion of reduction, reuse and recycle of waste
4. Prevention of environmental contamination

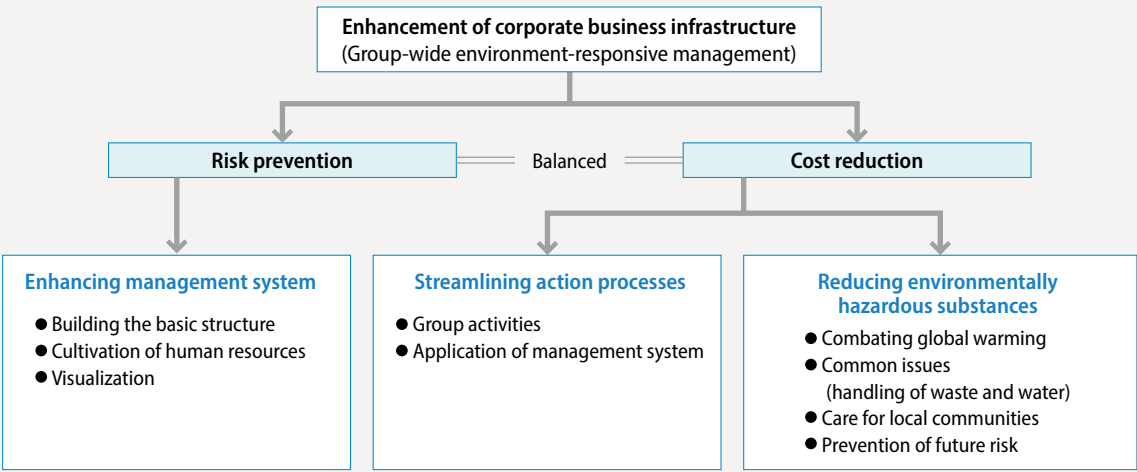
Established target

CO₂ emissions

Reduce CO₂ emission volume per unit of production (t/100 million yen) by 10% in 2020 from the figure in 2013.
(Emission volume per unit of production: 58.81 in 2013 → 52.71 in 2020)

Philosophy and Initiatives for Environment-Responsive Management

KITZ will conduct activities in accordance with the aforementioned principle and action policy on the basis of achieving a balance between risk prevention and cost reduction. This balance is based on our philosophy that preventing environmental risks such as soil contamination through proactive environmental conservation activities minimizes potential future costs; and that we can reduce other costs and make a broad contribution to society by thoroughly reducing waste generated by our business activities.



Development and Supply of Environmentally Friendly Products and Services

KITZ has formulated its own independent environmentally friendly development policies and environmental impact reduction guidelines and works to develop products that minimize environmental impacts based on medium- and long-term perspectives.



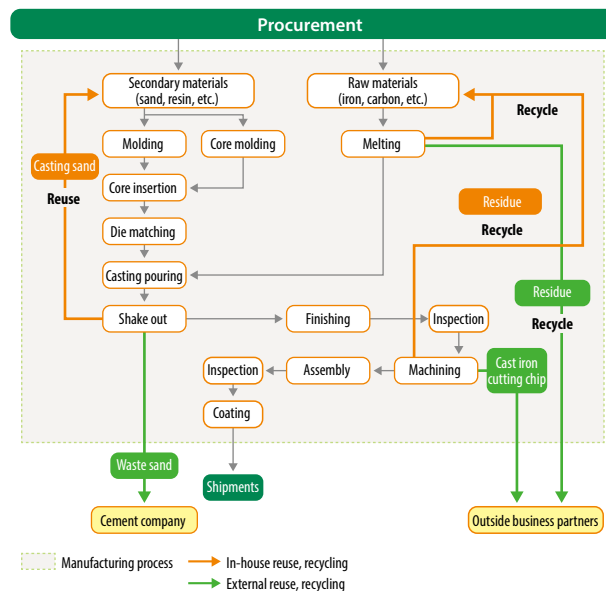
Effective Use of Resources

The main materials of valves are metals, which are natural resources. KITZ utilizes used scrap metal as part of raw materials for valves. KITZ also strives to recycle scrap and cutting chips generated in the production process by utilizing the know-how it has accumulated over many years. In addition, for casting sand to be used in the casting process, chunks are crushed, sorted and processed in the sand process for recycling. If casting sand is used repeatedly and becomes smaller than the standard particle diameter, it will become waste. However, casting sand that is disposed of will be used as auxiliary materials for cement. In this way, KITZ aims to achieve coexistence with the global environment and promotes the effective use of limited resources.

Reduction of Waste, Promotion of Recycling and Reuse

We are working to properly dispose of materials that we are unable to reduce (no generation or bringing in of waste),

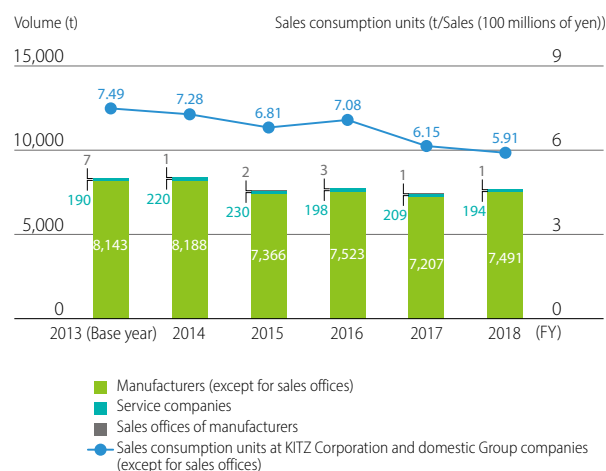
Flow Chart of Recycling and Reuse in Production Process of Cast Iron Valves



reuse (recyclable waste materials are returned to the production lines for reuse) or recycle (sort and recycle as resources). By thoroughly sorting waste material and recycling it as valuable resources, we are curbing the amount of waste materials generated.

In its production divisions, based on surveys and analyses of the volume of waste generated, KITZ is stepping up efforts to reduce and reuse industrial waste materials, which consist mostly of waste materials generated by the KITZ Group's production activities. Moreover, the Waste Material Management System, which manages the KITZ Group's environment and safety-related information, enables KITZ to ascertain on a timely basis the entire waste-handling process, from the generation of waste to final disposal, and allows this information to be shared within the Group. For its waste handling system,

Volume of Industrial Waste Materials



KITZ has established a framework under which the waste disposal route is determined in advance and waste cannot be processed using any route other than the route specified in the consignment agreements.

Prevention of Environmental Contamination

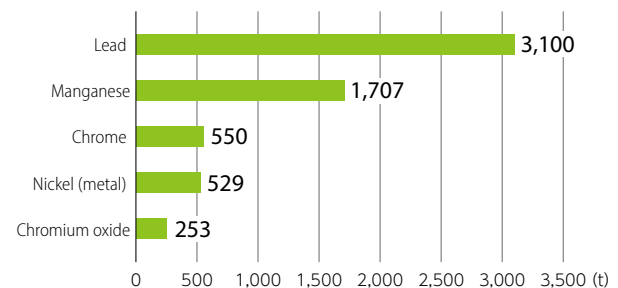
Metal resources and casting sand, which are raw materials of valves, contain many Pollutant Release and Transfer Register (PRTR) target substances* such as lead, manganese, chrome, nickel and chromium oxide. The main types of substances discharged into the atmosphere are xylene and toluene from paints, thinners and stored gasoline while the main substance transferred externally is chromium oxide contained in casting sand.

To prevent environmental contamination caused by dangerous and toxic substances contained in chemical products, in addition to preventing contamination from PRTR target substances*, KITZ built the Chemical Substance Management System in 2000. KITZ is working to identify chemical products

containing toxic substances and to use alternative substances as it strives to improve the safety of its valve products and reduce environmental impacts.

*These are substances recognized as being persistent in the environment over a wide area and that meet one of the following conditions that include "being harmful to human health and ecosystems," "chemical substances that may easily form hazardous chemical substances through a naturally occurring chemical transformation" and "ozone layer destroying substances."

Usage Volume of PRTR Substances (top five types)



*KITZ also tabulates PRTR substances for which the annual handling volume is less than 1t and that have a content rate of less than 1%.

Introduction of Fuel Cell-Powered Forklifts

In September 2012, KITZ launched the "KITZ CLESTEC series" of super high-pressure valves for use at hydrogen refueling stations. In April 2018, KITZ constructed a hydrogen refueling station at its Nagasaka Plant that uses compact package units, and is currently working to accumulate technologies for future valve development efforts through demonstrative operation.

With regard to fuel cell vehicles (FCVs) as well, in addition to already utilizing three FCVs as company cars, in February 2019 the Company also introduced new fuel cell-powered forklifts at its Nagasaka Plant. These vehicles contribute to reducing environmental impact since no CO₂ emissions are produced during their use.



Introduction of Office Paper-Making Machines

In March 2019, we installed and commenced operation of an office paper-making machine at our Chino Plant. The introduction of this machine, which can produce new paper from used paper enables major reductions in costs, such as from purchases of copier paper and the collection and transportation of scrapped documents, and also allows us to reduce the risk of information leaks since it makes it possible to completely erase and expunge confidential documents internally. The machine is also expected to contribute to reducing the environmental impact by reducing the amount of virgin pulp material used when producing paper, as well as reducing consumption of fossil fuels and emissions of CO₂ and exhaust gases produced during transportation.

KITZ will continue to engage proactively in activities that help to conserve local environments and lead to the resolution of global environmental issues in order to contribute to the creation of a sustainable society.



Initiatives to Encourage and Support Human Resources

KITZ is promoting various initiatives as means of ensuring that each and every employee is able to demonstrate his or her full potential.

Desired Personnel

“Do it True” (referring to sincerity and the truth) is the first action guide at KITZ. Being sincere, being serious and complying with the rules and morals of society are the values that the KITZ Group considers to be the most important. We also consider these values to be the essence of KITZ’s outstanding corporate culture.

The action guides that follow these are “Do it Now” (referring to speed and timeliness) and “Do it New” (referring to creative ability and challenges). We need ideas outside KITZ conventions and the ability to act to develop businesses faster than ever before and to meet market demands that are changing with breathtaking speed. We aim to be a professional group that boldly takes on new challenges and where employees can deploy their own latent creative powers.



Human Resources Development

KITZ approaches training for its employees with “displaying human resources competence” and “displaying organizational capacity” as dual targets. KITZ is improving its programs for human resources development, such as programs for professional education based on duties and job classifications and programs for educating specially selected employees, with hierarchical education as a pillar. In addition, KITZ is developing a corporate culture that enables its employees to keep their motivation high by operating a target system for challenges and linking their development to their evaluation and treatment.

● Basic Training of Young Employees

Following the Company entrance ceremony in April, newly hired graduates participate in an introductory training course at the Head Office and the training center on proper

etiquette as adult members of society and on job fundamentals. After this, they acquire fundamental knowledge about valves and learn about the basic thinking and behavior as KITZ employees at new employee training, including practical training held at plants. Employees hired for technical positions then learn about the basics of design, machine work and casting over a one-year period. They are officially assigned to positions when they have sufficiently acquired the fundamentals of *monozukuri* (manufacturing).

Once assigned, a senior employee is appointed to each new recruit to provide individual support as part of a mentoring system, which assists in problem resolution in the career development of young workers and supports their growth.

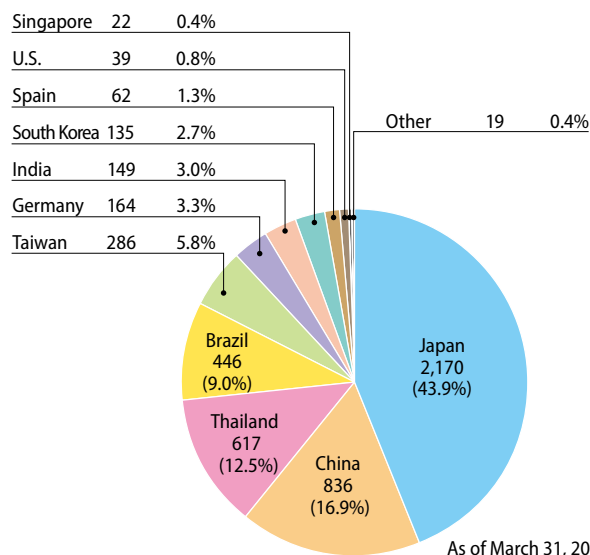
● Language Education for Selected Employees

We are investing efforts into language education for selected young employees. Our initiatives are aimed at continuous improvement of language ability to facilitate smooth communication in various situations overseas, including technical instruction, meetings and presentations at academic conferences.

● Promoting Globalization

Since the establishment of a sales subsidiary in the United States in 1984, KITZ has developed its business globally

Personnel Structure by Country



by successively setting up production bases and sales bases overseas while adding valve manufacturers in Spain, Germany, India, Brazil and Korea to the KITZ Group through M&A. At present, the KITZ Group operates bases in 18 countries worldwide. Employees working in countries other than Japan (including those on loan) account for 56.1% of the Group's total workforce (as of March 31, 2019).

Initiatives for Promoting Diversity

KITZ regards its employees as assets (human resources) and is working to create environments that enable each and every individual employee to make maximum effective use of his or her abilities, irrespective of gender, age or nationality.

● Reforms to the Personnel System

As part of the realization of the ideals of a "strong culture, strong organization" and "truly global company," we have shifted to a new personnel system, the aim of which is for the Company to become a professional organization with business expertise that will never be overcome by competitors.

In accordance with their career plan, employees choose "expert roles," in which advanced professional skills and knowledge gained through the experience of working are demonstrated, and "global roles," in which their aim is to create new added value and work in a professional role where they are globally active and a leading professional in the industry.

The system enables employees to change their career path according to changes in their individual life stages, allowing anyone the chance to tackle new challenges, and to grow while feeling job satisfaction.

● Transforming the Corporate Culture and Awareness

KITZ is engaged in efforts to encourage a transformation of awareness based on the concept of shifting from methods that have been taken for granted until now to constantly seeking out new methods and ways of doing things in order to ensure recognition of diverse human resources while at the same time protecting the traditions from the time of its



original founding,

As one aspect of this, we hold lecture sessions for employees given by outside experts. By offering lectures on a variety of themes, such as promoting diversity and career development, we are providing a helping hand to transform employees' awareness and promote corporate cultural reform.

Work-Life Balance

KITZ is striving to enhance work-life balance to enable each employee to work with high motivation and a sense of fulfillment. Each individual can build careers as company employees who execute their job responsibilities while fully deploying their capabilities. They can choose a diverse and flexible working style in accordance with changes in various stages of their personal lives, such as having to provide child care or nursing care.

● Shortened Working Hours

Shortened working hours in which prescribed working hours are reduced, so as to allow employees to carry out childcare duties. In the past, they applied until a child was three-years-old, but the period was extended to until a child entered primary school.

● Childcare Leave

A period of childcare leave can be acquired, at a maximum, up to the last day of March after a child turns one-year-old, or up to the day preceding the day he or she turns one-year and six-months old. Where there is a reason, however, that a child is not able to enter nursery school, the period can be extended up to when the child turns two years of age.

● Re-Entry System

We have started a system that allows employees who have left the company for childbirth, childcare, nursing of family members or relocation due to their spouse's business to resume work so long as they have registered in advance. This means that employees who have retired can once again get their career on track and make the best use of the skills they learned during their time with the company. The Company can also expect to see various benefits, including a reduced burden on education and training relative to hiring new recruits and mid-career workers.

The Company is committed to the creation of an environment that is easier to work in, for example, a system that allows the acquisition of time units of paid holiday time, or where accumulated paid leave can be used as child care or nursing care leave.

Diverse Human Resources in the KITZ Group

We introduce how employees work creating value at their own posts.

KITZ provides us with opportunities to work on a global scale.

Roderick Andal Perez

Engineering Group, Customer Engineering Department
KITZ Corporation



All KITZ employees work hard and respect each other. I can work comfortably every day thanks to my friendly colleagues and good environment. Working for KITZ also means that we can have an opportunity to take an active role globally.

I try to convey my experience to other employees for their own development.

Maria Luisa Ribas Steegmann

Managing Director & President
KITZ Corporation of Europe, S.A.



I feel especially pleased when our team manages to overcome a major challenge to help other people so we can satisfy the needs of a customer. The trust placed in me to put me in charge of the management of one of its companies has helped me to grow professionally and improve in other areas during the past 10 years, and I try to convey my experience also to other employees for their own development.

Engaging in new challenges by leveraging past experiences

Yukiko Okabe

Director of Sustainability Promotion Office
KITZ Corporation

I have been given responsibility for a new division established in July 2019. I want to utilize my experiences in the PR and HR divisions in tackling issues relating to ESG, a key theme in the fourth phase of our Medium-Term Management Plan, and to take a key role in the creation of a future for us to leave to the next generation.



I feel happy to be facing new challenges together with fellow KITZ Group colleagues

Takashi Takagi

Managing Director
KITZ Valve & Actuation (Thailand) Co., Ltd.

I feel happy to be facing new challenges together with fellow colleagues who share the same common philosophy: the KITZ' Statement of Corporate Mission. Looking ahead, we will continue to engage in new challenges in order to enable us to evolve into a stronger company in the global marketplace, and to contribute to society through our activities.



I feel satisfaction from developing technologies for the advancement of the KITZ Group

Naoki Kira

Technology Research Group, Production Engineering Department
KITZ Corporation



I am responsible for development and deployment of automated valve production equipment. Since joining the company, I have learned a variety of skills and become able to give shape to my ideas. I feel satisfaction from being able to develop the technologies that are required for the further advancement of the KITZ Group.

I want to increase the number of KITZ fans through finely-tuned services

Toyoko Suzuki

Manager of Sales Admin Group, Tokyo Branch, KITZ Corporation



Because I work inside the office, I have very few opportunities to meet customers in person. For exactly that reason, receiving words of gratitude is my greatest motivation. Moving forward, I want to continue increasing the number of KITZ fans by gaining a more in-depth knowledge of valves and offering finely-tuned services that will make customers say, "I'll buy from you (i.e., KITZ) again next time."

I intend to accumulate additional experience in casting here in Brazil and further raise my skills.

Yoshiki Sato

MTA Foundry Factory Chief Production Engineer
Metalúrgica Golden Art's Ltda.



Since joining the Company, I have been involved in casting, which represents the heart of manufacturing of valves. I assumed my post here in 2016 and am in charge of the foundry at Metalúrgica Golden Art's, Ltda., a valve manufacturer in Brazil that joined the Group through an M&A. I plan to accumulate additional experience here and acquire skills that will enable me to contribute to the KITZ Group.

I have a sense of satisfaction in serving as a bridge between two different cultures.

Shizuka Mita

Chief Accounting Officer
KITZ Corporation of America



I oversee all administrative, accounting and inventory-related functions. My position is very interesting as it involves so many different areas. I am often asked to assist with communication between KITZ Japan and KCA management. It is extremely important to understand one another correctly. I find this the most challenging and rewarding part of my job. Successfully coping with the economic and social challenges has also been very satisfying.

I would like to continue fulfilling the role of connecting people with people.

Makiko Shimoyama

General Affairs and Accounting Section, Management Department
KITZ SCT Corporation

I took childcare leave and then returned to my workplace. I have been blessed with an understanding boss and colleagues and am able to enjoy my job while achieving a balance between child-rearing and work. In the future as well, I would like to fulfill the role of connecting people with people while never forgetting my "feeling of gratitude," "the desire to improve myself" and a "happy face."



I will always have an unquenchable curiosity about valves.

Tomoharu Ishii

Manager of PCA Marketing Department
Product Management Center
KITZ Corporation

I am involved in formulating strategies for capturing focused market fields and introducing new products. I make my best day-to-day efforts so that numerous parties and people related to KITZ, from partner companies and suppliers to end users, can feel a sense of joy. Valves are used in variety of industries and many kinds of technology are required for production. I will always have an unquenchable curiosity about valves.



I still cannot forget my supervisor's words: "Do whatever you can do."

Yuuki Ishihara

International Business Development Department
KITZ Corporation



Just one and a half years after joining the company, I was placed solely in charge of a Taiwanese client. "Do whatever you can do" are unforgettable words that my supervisor said at that time. Our competitors exist all over the world. I work toward becoming a world-class salesperson who is more creative than those in competitive manufacturers around the world.

The more motivated you become, the more you can expand your own potential.

Sachiko Shiroki

Project Engineering Group, Project Engineering Department
KITZ Corporation



At KITZ, we do not have a negative way of thinking such as "women should act like women." As long as you have the motivation, you can play an important role regardless of age and gender. I want to further expand my potential and use my skills to make a contribution to society.

Social Contribution Activities

KITZ focuses its various social contribution activities on areas including regional development (regional contribution), environment preservation, social and international contribution, and culture development.

Project for Regenerating Kujukuri Coastal Forest Preserve

In collaboration with the NPO Life Style Research Institute of Forests, we work on regenerating the forest preserve at Hasunuma Tonoshita coastal area (Kujukuri coastal area) in Sammu city, Chiba Prefecture, which was damaged by the tsunami caused by the Great East Japan Earthquake.



Regeneration of a Satoyama – Oomurasaki Forest

In an effort to regenerate a *Satoyama* (undeveloped village forest) to serve as a habitat for the giant purple *Oomurasaki* butterfly, Japan's national butterfly and the symbol of Hokuto city, Yamanashi Prefecture, where the Nagasaka Plant is located, we participate in tree-planting activities sponsored by the NPO Oomurasaki Center.



Support for the Japan Para-Alpine Ski Team

KITZ is an official sponsor of the Alpine ski team, Ski Association of Japan for the Disabled. The purposes of this activity are to develop players that can excel in world-class events, including the Paralympics and the World Cup, and to help people with disabilities overcome their challenges and participate in society through skiing.

Introduction of TABLE FOR TWO Program

Our company cafeterias have introduced an activity that simultaneously seeks to eliminate hunger in developing countries and obesity and life-style-related diseases in developed countries. Each time an employee eats a meal from our healthy menu, we donate 20 yen out of the cost paid by an employee that is included in the price of the meal to support school lunch projects in developing countries in Africa.



Photo: TABLE FOR TWO

Support for Kitazawa Museum of Art

KITZ supports the activities of the Kitazawa Museum of Art located on the shores of Lake Suwa. KITZ founder Toshio Kitazawa established the museum in 1983 as an incorporated foundation with the aim of contributing to the promotion and development of the regional culture. The museum became a public interest incorporated foundation in 2013.

The Kitazawa Museum of Art permanently displays excellent pieces of artwork, including some of the world's best French glassworks made during the art nouveau era at the end of 19th century and modern Japanese paintings. These works are highly acclaimed both in Japan and overseas.



Relationships with Local Communities: Promoting Sports in Communities with KITZ Business Locations

A number of the KITZ Group's business sites are located in Yamanashi and Nagano prefectures, for example, the Nagasaka Plant in Yamanashi Prefecture and the Ina and Chino plants in Nagano Prefecture. KITZ supports local professional sports teams in these areas which are investing efforts into the development of local children.

The Company has supported the Soccer J2 League Ventforet Kofu (Kofu, Yamanashi Prefecture) since 2013, as well as the J1 League Matsumoto Yamaga FC (Matsumoto, Nagano Prefecture) and the Volleyball V Challenge League IVC Nagano Tridents (Kamiina, Nagano Prefecture) since 2018. Through its support for these teams, KITZ is contributing to the local community, the healthy development of local children and the advancement of sports culture.



Ventforet Kofu

KITZ supports the training academy for (U-18) developing future players as a uniform sponsor.



Matsumoto Yamaga FC

In addition to supporting Matsumoto Yamaga FC as a Yama Girls Partner, sponsoring soccer events for girls, KITZ also displays a stadium banner with its company name in the wheelchair seats on the back-stand side of Sunpro Alwin stadium, which is the team's home ground.



VC Nagano Tridents

KITZ's logo is displayed on the back (leg) of the team's uniform for the 2018-19 Season. Also, KITZ became the title sponsor for the junior high school students volleyball tournament which has been organized by VC Nagano Tridents in the Nanshin area of Nagano Prefecture. The tournament is newly named the KITZ Cup.



Additionally, KITZ engages in continuous activities for promoting sports in local communities where its business locations are based. These efforts include annual sponsorship of the spring high school Ina Ekiden road race, which is held in Ina, Nagano Prefecture (where the Company's Ina Plant is located), with the participation of strong sporting schools from throughout Japan, and the Suwako Marathon held in Suwa.